Board Size Variation and Rates of Succession in the Corporate Presidency*

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Within the setting of 54 industrial corporations, the higher the variation in the membership size of the board of directors, the more rapid the rate of replacement of the president. Variations in board size are developed from a coefficient of volatility identifying yearly changes from 1947 to 1977. Further analysis of the data suggests that for relatively successful companies a significantly negative relationship exists between board size variation and rates of succession, whereas a significantly positive relationship exists for relatively unsuccessful companies. These results have implications for succession planning in the corporate presidency.

Pertinent to the study of the corporate leaders within complex organizations is the notion that viable systems seek self-stabilization while adjusting to the changing demands of the organization's task environment. In response to the changing environment, individuals are frequently hired and fired in organizational groups in order to introduce or make room for new administrative resources and ideas to deal with various contingencies. In this sense, organizations choose leaders who can help in dealing with critical contingencies that organizations face, suggesting that the choice of chief executives is systematically related to the changing dimensions of an organization's task environment. Pfeffer and Salancik [33], in summarizing Gouldner's [12] case study of succession, argued that "the frequency with which organizations replace their chief executive is hypothesized to be a function of the instability and problems confronted by organizations." Because organizations select leaders who can help in identifying critical contingencies of the environment [46], the choosing of a successor recreates the setting for examining the organization's mandate, effectiveness, and character.

Understanding the relationship between leadership changeover in key organizational groups and replacing leaders at the proper

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* The University of San Diego provided financial support for this study.

 0148-2963/80/01051-13$01.75